

Monetary Standards

1. Monetary Standard

A monetary standard is the system adopted by a country to determine the value of its currency. It specifies the material or basis—such as gold, silver, or paper money—on which the monetary unit is based.

2. Metallic Standard

Under a metallic standard, the value of money is linked to a specified quantity of metal, generally gold or silver. Coins made from the standard metal may circulate freely and may be converted into bullion.

3. Paper Currency Standard

Under the paper currency standard, paper notes are the main form of money and are not freely convertible into gold or silver. Their value depends on government authority, public confidence, and control of the money supply.

4. Monometallism

Monometallism is a monetary system in which only one metal, such as gold or silver, is used as the standard of value. Coins made from the chosen metal have unlimited legal-tender status.

5. Bimetallism

Bimetallism is a system in which both gold and silver are used as standard money. The government fixes a legal exchange ratio between the two metals, and coins of both metals have unlimited legal-tender status.

6. Free Paper Currency Standard

Under a free paper currency system, notes may be issued without strict metallic-reserve requirements. Excessive issue may lead to inflation and a fall in the value of money.

7. Managed Paper Currency Standard

Under a managed paper currency system, the central bank regulates the supply of currency according to the needs of the economy. Its main objectives are price stability, economic growth, and financial stability.

Forms of the Gold Standard

A. Gold Coin Standard

Under the gold coin standard, gold coins circulate as ordinary money. Paper notes are freely convertible into gold coins, and gold may be freely imported, exported, and coined.

B. Gold Bullion Standard

Under the gold bullion standard, gold coins do not normally circulate. Paper currency can be converted into gold bullion only in large quantities and for a prescribed minimum amount.

C. Gold Exchange Standard

Under the gold exchange standard, a country does not maintain full gold circulation. Its currency is linked to the currency of another country that follows a gold standard, and reserves are held mainly in foreign currency or foreign securities.

D. Gold Parity Standard

Under the gold parity standard, the value of a country's currency is fixed in relation to gold, but direct conversion into gold may not be available. The monetary authority maintains the fixed parity through exchange-rate and monetary policies.

E. Gold Reserve Standard

Under the gold reserve standard, the monetary authority keeps a certain quantity of gold as a reserve against the issue of paper currency. Gold does not generally circulate among the public.

Methods of Note Issue

1. Fixed Fiduciary System

Under this system, the central bank may issue a fixed amount of notes without keeping an equivalent gold reserve. Any note issue above the fixed limit must be fully backed by gold or other specified assets.

2. Proportional Reserve System

Under this system, the central bank must maintain a fixed proportion of the total note issue in gold or foreign exchange. The remaining portion may be backed by government securities and other approved assets.

3. Simple Deposit System

Under the simple deposit system, notes are issued against the deposit of an equal value of gold, coins, government securities, or other approved assets. Thus, the note issue is fully secured by deposited assets.

4. Fixed Maximum System

Under this system, the law fixes the maximum amount of notes that may be issued. The issuing authority cannot increase the note supply beyond this limit without legal approval.

5. Percentage System

Under the percentage system, a prescribed percentage of the note issue must be backed by gold or other liquid reserves. The remaining percentage may be backed by government securities or commercial assets.

6. Government Bond Deposit System

Under this system, banks issue notes against government bonds deposited with the government or monetary authority. The safety of the notes depends mainly on the value and security of the government bonds.

7. Minimum Reserve System

Under the minimum reserve system, the central bank is required to maintain only a fixed minimum amount of gold and foreign securities. After maintaining this minimum reserve, it can issue additional notes according to the needs of the economy.

Difference Between Forms of the Gold Standard

Gold Standard	Circulation of Gold Coins	Convertibility	Reserve Maintained	Main Feature
Gold Coin Standard	Gold coins circulate among the public	Notes are freely convertible into gold coins	Gold coins and bullion	Full gold currency system
Gold Bullion Standard	Gold coins do not circulate	Notes are convertible into gold bullion in large amounts	Gold bullion	Conversion is allowed only above a prescribed minimum amount
Gold Exchange Standard	Gold coins do not circulate	Currency is convertible into foreign currency linked with gold	Foreign currency and foreign securities	Currency value is maintained through another country's currency
Gold Parity Standard	Gold coins do not circulate	Direct conversion into gold is generally absent	Gold, foreign exchange, and securities	The government maintains a fixed value or parity of

				currency in terms of gold
Gold Reserve Standard	Gold does not normally circulate	Limited or no public conversion into gold	A fixed gold reserve	Gold is kept mainly as a reserve against currency issue

Comparison of Methods of Note Issue

E. Difference Between Note-Issue Systems

System	Reserve Requirement	Limit on Note Issue	Assets Used as Backing	Main Feature
Fixed Fiduciary System	Metallic reserve is required only above a fixed fiduciary limit	A fixed amount can be issued without metallic backing	Gold, securities, and approved assets	Notes up to a fixed limit are issued against securities
Proportional Reserve System	A fixed percentage of total notes must be kept as reserve	Issue can increase if the required percentage is maintained	Gold, foreign exchange, and securities	Reserve changes in proportion to the note issue
Simple Deposit System	Assets equal to the value of notes must be deposited	Depends on the amount of deposited assets	Gold, coins, securities, or approved assets	Every note is fully backed by deposited assets
Fixed Maximum System	Reserve rules may vary	Law fixes the maximum amount of notes	Gold and securities	Notes cannot be issued beyond the legal maximum
Percentage System	A prescribed percentage of notes must be backed by liquid reserves	Issue expands according to the reserve percentage	Gold, foreign exchange, and securities	A percentage of total note issue is covered by reserve
Government Bond Deposit System	Government bonds equal to the required amount must be deposited	Depends on the value of deposited bonds	Government bonds	Notes are issued mainly against government securities
Minimum Reserve System	Only a fixed minimum	No fixed maximum after	Gold and foreign securities	Provides maximum

	reserve must be maintained	maintaining the minimum reserve		flexibility to the central bank
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